



Internal financing

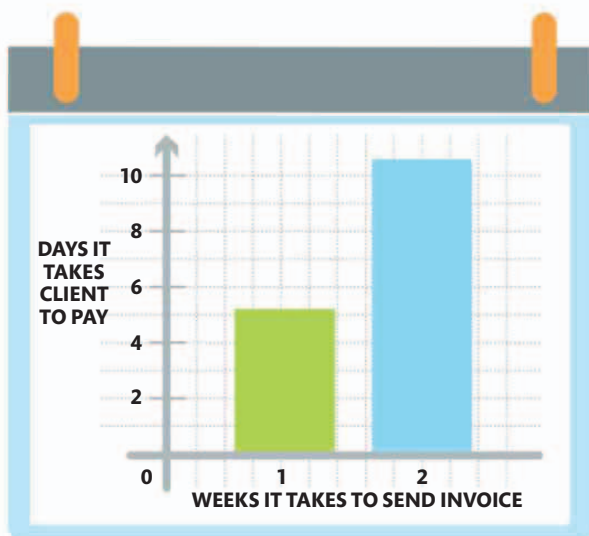
Most companies prefer to secure funding from their own internal resources, rather than either take on debt through borrowing or give up a stake in the company by issuing shares, both of which cost more.

How it works

When a business needs funds, or capital, to pay for expansion or investment in order to maintain its current operations, it is faced with two choices: either find the money from outside sources, or find the money from within the organization itself. Since there are costs attached to bringing in funds from external sources, such as interest that has to be paid on a bank loan, the business managers must weigh up the opportunity cost of using its own funds—the profit it could earn by investing those funds—against the cost of financing.

THE RECENCY BIAS

When a company receives timely payments for its invoices, this helps maintain its levels of funds. Interestingly, invoices issued right after completion of work tend to get paid sooner than those invoices that are sent later. A theory called recency bias explains this phenomenon: the brain prioritizes recent events over those that occurred longer ago.



Raising internal financing

Whether a company's need for additional funds is long- or short-term, steps can be taken to increase the level of funds within the company.

Short-term financing

For businesses wishing to raise funds without recourse to external sources, there are three main strategies they can implement to maximize the amount of cash available for day-to-day operations and capital expenditure.



Tighten credit control

Actions include chasing debtors so that invoices are paid on time; ensuring new customers are creditworthy by conducting strict credit checks; and setting a 30-day payment term.



Delay payment

Large suppliers may offer a discount for early payment, but they may also allow a company longer terms for payment, boosting cash levels in the short term.